

23VECV03731 23VECV03731

County: los-angeles

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Tentative Ruling

Graham v. Global Customer Services,

Case no. 23VECV03731

Hearing date July 23, 2026

Plaintiff

Graham's Motion for Preliminary Approval of Class Action and PAGA Settlement -
UNOPPOSED

Plaintiff

Graham sues defendants Global Customer Services, Inc. ("GCS") and Arizona Pipeline Company ("APC"), alleging employment law violations, including failures to pay wages, meal periods, business reimbursements and others. Plaintiff also brought a Private Attorneys General Act of 2004 ("PAGA") claim. The matter settled for \$1,350,000 on behalf of approximately 820 class members. See Decl. Etemadi, exh. A. Plaintiff moves for preliminary approval of the class action and PAGA settlement. The motion is unopposed.

Plaintiff

requests that the court issue an order: (1) "Preliminar[i]ly approving the proposed Class Action and PAGA Settlement Agreement and Class Notice between Plaintiff and Defendants Global Customer Services, Inc. and Arizona Pipeline Company; (2) Conditionally certifying the Settlement Class for settlement purposes only; (3) Appointing Plaintiff as Class Representative; (4) Appointing David Alami, Daniel J. Hyun, and Shaheen Anthony Etemadi of the Torus LLP as Class Counsel; (5) Appointing CPT Group as the Settlement Administrator; (6)

Directing that notice be mailed to the Settlement Class; and (7) Scheduling a hearing date for the Motion for Final Approval of Class Action Settlement.”
Mtn., 2:5-15.

As

a “fiduciary” of the absent class members, the trial court’s duty is to have information to determine if the settlement is fair, adequate and reasonable. 7-Eleven Owners for Fair Franchising v. The Southland Corp. (2000) 85 Cal.App.4th 1135, 1151 (citing Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1801, 1802).

California

Rules of Court, Rule 3.769 governs settlements of class actions. Any party to a settlement agreement may submit a written notice for preliminary approval of the settlement. The settlement agreement and proposed notice to class members must be filed with the motion, and the proposed order must be lodged with the motion. CRC rule 3.769(c).

Wershba

v. Apple Computer, Inc.
(2001) 91 Cal.App.4th 224, 244-45 discusses factors the court should consider when considering reasonableness of the settlement. A presumption of fairness exists where: (1) the settlement is reached through arm’s length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small. Wershba, supra, at 245, citing Dunk, supra, at 1802. The test is not the maximum amount plaintiff might have obtained at trial but whether the settlement is reasonable under all the circumstances. Wershba, supra, at 250.

The

Los Angeles Superior Court provides a checklist for the preliminary approval of class action settlements. See LASC Checklist for Preliminary Approval of Class Action Settlement at www.lacourt.org/division/civil/pdf/PreliminaryApprovalOfClassActionSettlement.pdf. The motion follows the LASC checklist. See Mtn. 4:17-15:28.

Defendant

GCS provided debris removal, traffic control services, aerial imaging services and utility locating services throughout California. GCS is no longer in

business. Defendant APC provides underground construction services throughout California. See Decl. Etemadi, para. 9. On 5/22/23 plaintiff submitted a PAGA notice to defendants and the California Labor and Workforce Development Agency ("LWDA"). Id. at para. 10. The LWDA did not respond. Id. Plaintiff filed the complaint on 1/30/26. Id. at para. 11.

Plaintiff

alleges defendants violated provisions of the Labor Code and other applicable California law: "Plaintiff alleges Defendants violated several provisions of the Labor Code and other applicable California law by, inter alia, (1) Failure To Pay All Wages Owed (2) Failure To Pay Vacation Pay; (3) Failure To Reimburse For Necessary Business Expenses; (4) Failure To Provide Meal Periods; (5) Failure To Authorize And Permit Rest Breaks; (6) Failure To Provide Employees With Heat Recovery Periods; (7) Failure To Provide Notice Of And Pay Paid Sick Leave At The Correct Rate; (8) Failure To Maintain Accurate Timekeeping, Payroll And Employment Records; (9) Failure To Produce Employment Records; (10) Failure To Timely Pay Wages Owed During Employment And Upon Separation; (11) Failure To Provide Accurate Itemized Wage Statements; (12) Requiring Employees To Release Claims In Exchange For Payment; (13) Unfair Competition; and (14) Civil Penalties Under The Private Attorneys General Act Of 2004 For Violations Of Labor Code Sections And Applicable IWC Wage Orders." Decl. Etemadi, paras. 11, 16-22.

Plaintiff

is represented by David Alami, Daniel J. Hyun and Shaheen Anthony Etemadi of Torus LLP. See Decl. Etemadi, paras. 5-7; Decl. Alami, paras. 5-8. Class counsel is sufficiently experienced in wage and hour litigation and class representation. Id.

Counsel

engaged in extensive informal discovery. See Decl. Etemadi, para. 12. This included informal production and review of timekeeping and payroll records during the class period for a sampling of 25% of the 820 class members; production of relevant employment policies during the class period, agreements governing the class members throughout the class period and other relevant documents ahead of mediation. Id. Plaintiff consulted with experts to analyze the timekeeping and payroll data. Id. The court finds plaintiff and defendants sufficiently investigated the claims and exchanged records and information regarding the claims prior to negotiating a settlement such that counsel and the court are able to act intelligently.

On

5/9/25 the parties mediated with Will Klatte, Esq., an experienced wage and hour class action mediator. See Decl. Etemadi, para. 13. All parties were represented by counsel at the mediation, and each party recognized the risk of an adverse result absent a settlement. Id. The parties exchanged and executed the long-form settlement agreement presented to the court on 12/29/25 following extensive negotiations. Id. at para. 13, exh. A. The court finds the parties have engaged in reasonable arms-length bargaining.

The

net settlement amount ("NSA") expected to be paid to the class members, after payment of class counsel fees of 35% of the gross settlement agreement ("GSA") (\$1,350,000) and costs of up to \$25,000, a class representative service award of \$15,000, settlement administration costs of up to \$12,750, a total PAGA penalty payment of \$100,000 (75% [\$75,000] of which goes to the California Labor & Workforce Development Agency ("LWDA") and 25% [\$25,000] of which will be paid to aggrieved employees employed during the PAGA period), and excluding the employer's share of payroll taxes, which shall not be paid from the GSA, is \$749,750, with an average estimated individual class payment of approximately \$914.33. The court finds this to be a reasonable amount under all circumstances.

A

settlement does not have to provide 100% of the damages sought to be considered fair and reasonable. *Rebney v. Wells Fargo Bank* (1991) 220 Cal.App.3d 1117, 1139. Preliminary approval is warranted if the settlement falls within a "reasonable range." *North Cty. Contractor's Ass'n., Inc. v. Touchstone Ins. Serv.* (1994) 27 Cal.App.4th 1085, 1089-90. Here, plaintiff alleges his claims are based on defendants' common, class-wide policies and procedures, and liability could be determined on a class-wide basis without depending on individual assessments of liability. If plaintiff prevailed on the merits for all alleged claims, the reasonable estimated damages and penalties for all claims total approximately \$2,588,850. Due to the risk of non-certification and losing on the merits, reaching a compromise settlement for \$1,350,000.00 (approximately 52.15% of the estimated damages) is reasonable and will allow class members to obtain compensation for their claims without having to file and litigate their own cases. See Decl. Etemadi, paras. 16-23.

GRANTED;

the court will sign the proposed order filed by plaintiff 3/3/26 and set a hearing for the motion for final approval.